

Nelson Bankruptcy Chapter 11 Reorganization

Debtor Nelson Manufacturing Company filed a voluntary petition for relief under Chapter 11 of the Bankruptcy Code. The debtor operates a manufacturing business with 200 employees and seeks to reorganize its debts while continuing operations. The debtor has filed a plan of reorganization and disclosure statement. The proposed plan provides for payment of secured creditors in full over five years, payment of priority claims in full, and payment of unsecured creditors at 40 cents on the dollar over three years. The plan proposes to reject certain unprofitable contracts and leases. The debtor argues the plan is feasible based on projected future earnings and cost reductions. The Official Committee of Unsecured Creditors objects to the plan, arguing the proposed payment to unsecured creditors is inadequate and the plan is not feasible. The committee presented evidence that the debtor's financial projections are overly optimistic and the proposed cost reductions are unrealistic. After hearing, the court finds the plan meets the requirements of the Bankruptcy Code. The plan is fair and equitable, provides adequate protection to creditors, and is feasible. The disclosure statement is approved and the court sets a date for the confirmation hearing. Creditors shall have 30 days to vote on the plan.